1.

CASE #	CASE NAME	HEARING NAME
CVME2603985	VOGT VS GENERAL MOTORS, LLC	DEMURRER/MOTION TO STRIKE

Tentative Ruling: Demurrer to the Third and Fourth Causes of Action are overruled. Motion to Strike Denied. Defense to respond within 20 days.

Demurrer - The function of a demurrer is to test the legal sufficiency of a pleading, but not the truthfulness of the allegations. (*Donabedian v. Mercury Ins. Co*. (2004) 116 Cal.App.4th 968, 994.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Id.*)

Third Cause of Action - Fraudulent Concealment Cause of Action – Specificity - Concealment requires: "(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (*Marketing West, Inc. v. Sanyo Fisher (USA) Corp.* (1992) 6 Cal.App.4th 603, 612-613.) As concealment is a species of fraud, it must also be pled with specificity. (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 878.) Less specificity is required where the defendant necessarily possesses the information. (*Committee,* supra, 35 Cal.3d at 216.)

The case of *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828[1] addressed the sufficiency for concealment for pleading purposes in fraud in a lemon law case. The *Dhital* court found that it was sufficient that plaintiffs alleged a transmission defect in numerous vehicles, including the plaintiff's, the defendant knew of the defect and the hazards they posed, defendant had exclusive knowledge of the defect and failed to disclose that information, defendant intended to deceive plaintiffs by concealing known defects, the plaintiffs would not have purchased the car if they had known of the defects, and they suffered damages on the sums paid to purchase the vehicle. (*Id*. at 843-844.)

Here, Plaintiff pleads the same facts as found to be sufficient in *Dhital*. Plaintiff alleges that there is an engine defect that is a safety hazard. (FAC, ¶ 18.) The complaint alleges Defendant had exclusive knowledge of the issue. (*Id.* at ¶¶ 21 and 47-85.) The complaint also alleges Defendant actively concealed the defect and that had Plaintiff known about the defect, he would not have purchased the vehicle. (*Id.* at ¶¶ 19 and 86-97.) This is sufficient for pleading purposes.

Plaintiff's cause of action for fraudulent concealment is plead with sufficient specificity to survive demurrer.

[1] The California Supreme Court deferred the matter pending consideration of the related issue in *Rattagan v. Uber Techs., Inc.* (Dec. 1, 2021, S272113) regarding the economic loss rule in concealment cases. After the Court issued its decision in *Rattagan*, the Court dismissed review.

Third Cause of Action -Fraudulent Concealment Cause of Action - Duty to Disclose - As explained in *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311: " 'There are "four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts." ' " The last three require an evidence of some transaction, i.e. direct dealings between the plaintiff and the defendant. (*Id*. at 311-312.) The plaintiff had sued her doctor, the manufacturer and a supplier regarding the malfunction of a medical device (providing cold therapy). (*Id*. at 286.) The plaintiff had rented the device from a supplier. (*Id*. at 287.) The court found that there was no duty to disclose because there was no relationship between the plaintiff and the manufacturer, no evidence that the manufacturer knew that the plaintiff even had the device (since she obtained it from a supplier), and that there was no evidence that the manufacturer advertised to the public. (*Id*. at 314.)

In *Dhital*, supra, 84 Cal.App.5th at 844, the court found a relationship for pleading purposes based on allegations that the plaintiffs purchased a car from the dealership backed by an express warranty, and that the authorized dealership was an agent of the manufacturer. Here, Plaintiff alleges he entered into a warranty contract with Defendant. (FAC, ¶¶ 8-9.) The complaint also alleges that Defendant has been unable to repair the vehicle after presentation to an authorized dealership, which served as an agent of FCC. (*Id.* at ¶¶ 98-110.) That demonstrates a transactional relationship for pleading purposes. Also, as discussed above, Plaintiff pleads exclusive knowledge. (*Id.* at ¶¶ 21 and 47-85.) The complaint sufficiently pleads a duty to disclose.

Fourth Cause of Action – CLRA Violations - Defendant also argues the CLRA claim fails because Plaintiff failed to provide notice of the claim and because the claim lacks specificity.

Failures to disclose are actionable pursuant to the CLRA. (*Id.* at 1252-1258 [the term "misrepresenting" in the CLRA (Civil Code § 1770(a) 5, 7, and 9) encompasses failures to disclose information and omissions about the goods].) There are two categories of actionable nondisclosures (concealment, omissions, failure to disclose) under the CLRA: "to be actionable the omission must be [1] contrary to a representation actually made by the defendant, or [2] an omission of a fact the defendant was obliged to disclose." (*Id.* at 1255; *Bardin v. Daimlerchrysler Corp.* (2006) 136 Cal.App.4th 1255, 1276; *Daugherty v. American Honda Motor Company, Inc.* (2006) 144 Cal.App.4th 824, 835.) As to the second category, the duty to disclose under the CLRA arises in the following instances: 1) when the defendant is plaintiff's fiduciary; 2) when the defendant has exclusive knowledge of material facts not known accessible to plaintiff; 3) when the defendant actively conceals a material fact; 4) when the defendant makes partial representations that are misleading because some other material fact has not been disclosed. (*Gutierrez, supra*, 19 Cal.App.5th at 1258, 1260; *Collins v. eMachines, Inc.* (2011) 202 Cal.App.4th 249, 255.) "In the context of the CLRA, a fact is "material" if a reasonable consumer would deem it important in determining how to act in the transaction at issue." (*Gutierrez*, *supra*, 19 Cal.App.5th at 1258.)

Gutierrez involved a car buyer who alleged the seller violated the CLRA by failing to disclose a safety related "stop lamp switch" recall that caused the plaintiff damage. (*Gutierrez*, *supra*, 19 Cal.App.5th at 1260-1265.) The Court overruled defendant's demurrer finding that seller had a duty to disclose the recall as the defect was material to the purchase transaction. (*Id.* at 1260-1261.) In so finding, the *Gutierrez* court concluded "failures to disclose material facts are actionable under the CLRA". (*Id.* at 1258 ["In particular, we conclude subdivision (a)(5), (7), and (9) of Civil Code section 1770 proscribe material omissions..." pursuant to the CLRA].)

Defendant contends that the CLRA cause of action fails because it does not meet the heightened pleading standards for fraud, including allegations of how, where, to whom, and by what means the fraud occurred. However, CLRA claims are not subject to the heightened pleading requirements. Rather, CLRA claims may be pled with "reasonable particularity", a more lenient pleading standard than is applied to common law fraud claims. (*Gutierrez v. CarMax Auto Superstores California* (2018) 19 Cal.App.5th 1234, 1261.) In addition, even in cases of common law fraud, specificity in pleading is relaxed when, as here, the allegations that "the defendant must necessarily possess full information concerning the facts of the controversy or when the facts lie more in the knowledge of the opposite party.' [Citation.]" (*Tarmann v. State Farm Auto Ins. Co.* (1991) 2 Cal.App.4th 153, 157.

The present matter is analogous to *Gutierrez* in that Plaintiff adequately pled fraud based on non-disclosure (discussed above), which is sufficient to show a CLRA violation.

Defendant also argues the cause of action fails due to Plaintiff's failure to provide a letter or notice as required by Civil Code § 1782(a) before the action was commenced – that is, the original complaint rather than the operative FAC. As Plaintiff points out in opposition, the Court of Appeal in *Morgan v. AT&T Wireless Services, Inc.* (2009) 177 Cal.App.4th 1235 expressly rejected the argument that CLRA notice must be sent before initiating a lawsuit, stating that such a claim "is contrary to the express language of the notice statute." (*Morgan, supra,* 177 Cal.App.4th at 1260.) The court confirmed that notice is not required when a plaintiff is not seeking damages under the CLRA and that the statute expressly allows a consumer to amend a complaint to add a request for damages. (*Id*.) This is the case here as the FAC alleges Plaintiff provided notice of the CLRA claim before filing the operative FAC. (FAC, ¶ 164.) This is sufficient for pleading purposes.

Motion to Strike – Merits - Defendant also moves to strike Plaintiff's request for punitive damages. The court may, upon a motion made pursuant to CCP § 435:

(a) Strike out any irrelevant, false, or improper matter inserted in any pleading.

(b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.

In order to plead punitive damages, a plaintiff must plead allegations of fraud, malice, or oppression with sufficient particularity. (*Hilliard v. AH Robbins Co*. (1983) 148 Cal.App.3d 374, 392.) Generally, claims for punitive damages must be pleaded with particularity as to the facts constituting the alleged egregious conduct. (*G.D. Searle & Co. v. Superior Court* (1975) 49 Cal.App.3d 22, 29.) However, the court may read the complaint as a whole so that conclusory allegations may be sufficient when read in context with the facts alleged as to the defendant's wrongful conduct. (*Perkins v. Superior Court (General Tel. Directory Co.)* (1981) 117 Cal.App.3d 1, 6-7.)

Malice is currently defined in the statute as "conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Civ. Code § 3294(c)(1).) Oppression is defined as "despicable conduct that subjects to a cruel and unjust hardship in conscious disregard of that person's rights. (Civ. Code § 3294(c)(2).) Fraud is "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code § 3294(c)(3).)

The FAC does not identify which cause of action punitive damages are sought—it is only referenced in the prayer. (Prayer, ¶ E.) Punitive damages are not available for Song-Beverly. (*Covert v. FCA USA, LLC* (2022) 73 Cal.App.5th 821, 828, fn.3.) However, punitive damages are available for fraud claims despite the fact that there is a Song-Beverly claim. (*Anderson v. Ford Motor Co.* (2022) 74 Cal.App.5th 946, 971-972.)

A properly pleaded fraud claim will itself support recovery of punitive damages and no allegations of "malice" or intent to injure plaintiff are required, because fraud is an alternative basis for recovery ("oppression, fraud or malice"). (*Stevens v. Sup.Ct. (St. Francis Med. Ctr.)* (1986) 180 Cal.App.3d 605, 610.) As fraud is sufficiently pled, as stated above, the motion to strike is denied.